



BY NIMESH SHAH

Navigating the Next Five Years

The Indian government's ambition to breach the \$5-trillion mark by 2029 is well within grasp, and several measures will be responsible for reaching this state

AS WE EMBARK on 2024, India stands at the precipice of an economic renaissance, poised to surpass economic giants Japan and Germany by 2025 and breach the monumental \$5-trillion GDP milestone. The Indian government's ambitious projections have set the stage for a comprehensive growth trajectory, with key sectors emerging as the linchpins of this economic ascent.

Setting the Stage for Growth

A palpable air of optimism surrounds India's economic landscape. Geopolitical shifts, a burgeoning youth demographic, and a strategic move away from China in global supply chains have converged with a slew of government incentives, creating a fertile ground for sectors such as manufacturing, infrastructure, housing, and logistics to thrive.

Per S&P Global, India's nominal GDP is expected to soar to \$7.3 trillion by 2030 from \$3.5 trillion in 2022. This economic resurgence is underpinned by the largest adolescent and youth population globally.

Sectors Driving Growth

Manufacturing: Constituting approximately 17% of India's GDP, manufacturing emerges as a vital contributor to economic expansion. The 'Make in India for the World' initiative gains momentum, driven by strong domestic demand and growing interest in Indian exports. Various sub-segments exhibit promising trends, including increased capacity utilisation, a shift towards premiumisation in automobile sales, and significant strides in electric vehicles. Ancillary industries stand to benefit from evolving global strategies, while defence and aerospace manufacturing present

lucrative opportunities.

Housing: The housing sector anticipates a significant uptick as the urban population in the country is projected to rise from 35% to 40% by 2030, necessitating an additional 25 million housing units. Innovations such as building information modelling and prefabricated construction methods pave the way for growth, with associated sectors like cement, tiles, and electrical hardware poised to gain.

Infrastructure & Logistics: Infrastructure and logistics are

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